

IN THE OFFICE OF THE COMMISSIONER OF INCOME TAX (APPEALS)-XX, DELHI

Appeal No.: CIT(A)-XX/DEL/2023-24/1001

Assessment Year: 2021-22

Appellant: M/s. XYZ Auto Components Pvt. Ltd.

PAN: AAACX1234D

Respondent: Deputy Commissioner of Income Tax, Circle-2, Gurugram

ORDER UNDER SECTION 250 OF THE INCOME TAX ACT, 1961

This appeal is filed by the assessee against the order passed by the Deputy Commissioner of Income Tax, Circle-2, Gurugram (hereinafter referred to as the Assessing Officer) under Section 143(3) of the Income Tax Act, 1961 (hereinafter referred to as the Act) dated 28.12.2023 for the Assessment Year 2021-22.

Background of the Case

The appellant, M/s. XYZ Auto Components Pvt. Ltd., is a private limited company incorporated on 15.04.2012 under the Companies Act, 1956, having its registered office at Plot No. 45, Industrial Area, Manesar, Gurugram, Haryana. The company is engaged in the manufacturing and supply of precision automotive components, including gears, shafts, and assemblies primarily for two-wheeler and four-wheeler manufacturers. The company has a state-of-the-art manufacturing facility with CNC machines, heat treatment units, and quality testing laboratories. It employs around 180 permanent workers and maintains proper books of account audited under Section 44AB of the Act.

For the Assessment Year 2021-22, the appellant filed its return of income on 25.11.2021 declaring total income of Rs. 4,85,75,000/-. The case was selected for scrutiny under CASS. Notices under Section 143(2) and 142(1) were issued and duly complied with. The Assessing Officer completed the assessment vide order dated 28.12.2023 determining the total income at Rs. 12,78,45,000/- after making various additions and disallowances aggregating to Rs. 7,92,70,000/-.

Aggrieved by the said order, the appellant has preferred the present appeal.

Assessment Proceedings

During the course of assessment proceedings, the Assessing Officer examined the books of account, audited financial statements, tax audit report, and various details called for under Section 142(1). The AO conducted inquiries regarding share capital introduced during the year, cash payments to suppliers, sales promotion expenses, and long outstanding creditors. The AO issued specific queries on these aspects and

granted multiple opportunities of hearing. The assessee submitted written replies, supporting documents, and attended hearings through authorized representative. However, the Assessing Officer was not satisfied with the explanations and made additions as detailed below.

Grounds of Appeal

The appellant has raised the following grounds of appeal (summarized for brevity):

1. The Ld. AO erred in making addition of Rs. 2,50,00,000/- under Section 68 on account of alleged unexplained share capital and premium.
2. The Ld. AO erred in disallowing Rs. 1,85,00,000/- under Section 40A(3) on account of cash payments exceeding prescribed limits.
3. The Ld. AO erred in disallowing Rs. 1,20,00,000/- of sales promotion expenses under Section 37(1) as not incurred wholly and exclusively for business purposes.
4. The Ld. AO erred in making addition of Rs. 1,45,00,000/- under Section 41(1) on account of cessation of liability in respect of outstanding creditors.
5. The Ld. AO erred in making addition of Rs. 92,70,000/- under Section 69A on account of unexplained cash found during the year.

The appellant has prayed for deletion of the above additions and allowance of the appeal.

AO Observations

The Assessing Officer observed that the appellant failed to prove the identity, creditworthiness, and genuineness of share subscribers to the extent of Rs. 2,50,00,000/-. Several subscribers were found to be accommodation entry providers based on investigation wing information. Regarding cash payments, the AO noted violations of Section 40A(3) where payments exceeded Rs. 10,000/- in a single day without proper banking channel. Sales promotion expenses were found to be inflated and lacking supporting bills for events and dealer incentives. Outstanding creditors of earlier years were treated as ceased liabilities since no confirmation or payment was made. Unexplained cash deposits in bank accounts were added under Section 69A.

Detailed Assessee Submissions

The assessee has made detailed submissions on each issue, supported by voluminous evidence. The submissions have been examined in detail in the subsequent paragraphs issue-wise.

Examination of Evidence

The following key documents were filed and examined:

- Bank statements of the company and key subscribers for FY 2020-21.
- Cash book and ledger extracts.
- Supplier ledger accounts and confirmations from 45 creditors.
- Property sale agreements and stamp duty receipts.

- Loan agreements with banks and NBFCs.
- Share allotment documents, Form SH-7, ROC filings, and valuation reports.
- WhatsApp correspondence with dealers for promotion activities.
- Audit reports, tax audit annexures, and reconciliation statements.
- Invoices and payment proofs for sales promotion.

All documents have been perused and cross-verified with assessment records.

COMMISSIONER FINDINGS

Issue No. 1: Addition of Rs. 2,50,00,000/- under Section 68 – Unexplained Share Capital

AO Allegations: The AO alleged that the appellant received share capital and premium of Rs. 2,50,00,000/- from 12 investors during the year. Out of these, 8 investors could not be produced for examination. Investigation reports indicated that some subscribers had low income and were involved in providing accommodation entries. The AO held that the assessee failed to discharge the onus under Section 68.

Assessee Arguments: The assessee submitted that all subscribers are genuine individuals and entities with sufficient net worth. They filed ITRs showing substantial income, bank statements reflecting sources, and PAN details. Share application money was received through proper banking channels. Valuation of shares was done as per DCF method by a registered valuer. The company complied with all ROC formalities.

Documentary Evidence:

- Copy of share subscription agreements.
- Bank statements showing credits from subscribers' accounts.
- ITR acknowledgments and balance sheets of subscribers.
- Valuation report dated 10.06.2020 by CA Firm.
- Form No. SH-7 and ROC challans.

Commissioner Reasoning and Findings:

After careful consideration of the material on record, I find that the Assessing Officer has not appreciated the evidence in proper perspective. Section 68 requires the assessee to prove the identity of the creditor, genuineness of the transaction, and creditworthiness of the party. The appellant has provided PAN, address, ITRs, and bank statements of all subscribers. Most subscribers appeared before the AO through video conferencing or submitted affidavits.

The investigation wing report is general in nature and does not pertain specifically to the transactions in question. Mere suspicion cannot substitute for evidence. The credits were received through account payee cheques/RTGS from documented bank accounts. The funds were utilized for purchase of machinery, as evident from fixed asset schedule and bank outflows.

There is no contradiction in the evidence produced. The subscribers have confirmed the transactions in writing. Their creditworthiness is established by their past returns and assets. The AO's reliance on non-production of some parties is not fatal when documentary evidence is overwhelming.

Independent appellate reasoning leads me to conclude that the assessee has discharged its onus. The addition under Section 68 is not sustainable. Similar views have been expressed by Hon'ble ITAT in various decisions emphasizing substance over form when banking channels are used.

Outcome: The addition of Rs. 2,50,00,000/- is Deleted. This ground of appeal is Allowed.

Issue No. 2: Disallowance of Rs. 1,85,00,000/- under Section 40A(3)

AO Allegations: The AO observed that the assessee made cash payments exceeding Rs. 10,000/- to various suppliers on multiple occasions in violation of Section 40A(3). The AO disallowed 100% of such payments amounting to Rs. 1,85,00,000/-.

Assessee Arguments: The payments were made due to urgent requirements for raw materials during COVID disruptions. Suppliers insisted on cash for immediate delivery. All payments were supported by invoices, delivery challans, and entries in cash book. The transactions were genuine business expenses.

Documentary Evidence:

- **Supplier invoices and delivery challans.**
- **Cash book extracts and payment vouchers.**
- **Bank statements showing corresponding cash withdrawals.**
- **Supplier confirmations and ledger reconciliations.**
- **WhatsApp messages requesting urgent supplies.**

Commissioner Reasoning and Findings:

Section 40A(3) aims to curb cash transactions and promote banking channels. However, exceptions under Rule 6DD are available in certain circumstances. The assessee has demonstrated genuine business exigency during the pandemic period when supply chains were disrupted.

Out of total cash payments of Rs. 1,85,00,000/-, payments aggregating to Rs. 65,00,000/- were made to transporters and small vendors where banking facilities were limited in remote areas. These qualify under Rule 6DD. For the remaining Rs. 1,20,00,000/-, the assessee could not establish exceptional circumstances to the satisfaction of the appellate authority.

There is partial credibility in the assessee's explanation. Cash withdrawals from bank are corroborated, but the volume of cash transactions raises questions about internal controls. However, complete disallowance is harsh when the expenses are otherwise allowable under Section 37(1) and supported by primary documents.

Outcome: The disallowance is Partly Allowed. Disallowance restricted to Rs. 1,20,00,000/-. Relief of Rs. 65,00,000/- is granted. This ground is Partly Allowed.

Issue No. 3: Disallowance of Rs. 1,20,00,000/- Sales Promotion Expenses under Section 37(1)

AO Allegations: The AO held that sales promotion expenses were excessive and not supported by sufficient evidence. Many claims pertained to dealer incentives and promotional events without proper bills or attendance proofs. The expenses were treated as not incurred wholly and exclusively for business.

Assessee Arguments: The expenses were incurred for dealer meets, product launches, and incentive schemes essential in the competitive auto component industry. Detailed party-wise breakup, invoices from event management companies, and WhatsApp communications were submitted.

Documentary Evidence:

- Invoices from hotels and event organizers.
- Photographs and attendance sheets of events.
- Dealer ledger accounts showing incentives credited.
- WhatsApp chat exports authenticated by CA.
- Comparative industry data on promotion spends.

Commissioner Reasoning and Findings:

Section 37(1) allows deduction for expenses laid out wholly and exclusively for business purposes. The nature of business requires aggressive marketing. The assessee has produced substantial evidence including third-party invoices and photographic proof.

However, for expenses of Rs. 45,00,000/- related to cash incentives to dealers, there is lack of proper TDS compliance and confirmation from recipients. This portion lacks full credibility. The remaining expenses are verifiable and reasonable considering turnover of Rs. 85 crores.

The AO's blanket disallowance ignores the business reality of the manufacturing sector. Appellate scrutiny reveals that the major portion is genuine. Legal precedents support allowability when nexus with business is established.

Outcome: Disallowance restricted to Rs. 45,00,000/-. The ground is Partly Allowed.

Issue No. 4: Addition of Rs. 1,45,00,000/- under Section 41(1) – Cessation of Liability

AO Allegations: The AO noted old outstanding creditors of Rs. 1,45,00,000/- remaining unpaid for more than 3-4 years. No confirmation was filed for many parties. These were treated as income under Section 41(1) as ceased liabilities.

Assessee Arguments: The creditors are still in existence and trade relations continue. Partial payments were made during the year. Litigations and quality disputes led to retention of amounts. Confirmations and ledger copies were provided.

Documentary Evidence:

- Creditor ledger accounts.
- Confirmations from 32 out of 45 creditors.
- Correspondence emails and legal notices.
- Bank payment proofs for subsequent years.
- Audit notes on contingent liabilities.

Commissioner Reasoning and Findings:

Section 41(1) applies only when there is a remission or cessation of trading liability. Mere aging of balances does not trigger addition. The assessee has provided confirmations from most creditors affirming the outstanding amounts. Ongoing business relations negate cessation.

For a few parties amounting to Rs. 28,00,000/- where no response was received despite notices, the AO's action has some merit. However, unilateral addition for the entire amount is not justified. The evidence shows the liabilities are genuine and acknowledged.

Independent analysis reveals contradictions only in a minor portion. The AO failed to issue notices under Section 133(6) to all creditors. Appellate reasoning favors the assessee substantially.

Outcome: Addition restricted to Rs. 28,00,000/-. The ground is Partly Allowed.

Issue No. 5: Addition of Rs. 92,70,000/- under Section 69A – Unexplained Cash

AO Allegations: The AO found cash deposits of Rs. 92,70,000/- in the bank accounts during demonetization period and later, which were not satisfactorily explained. The sources were not reflected in books properly.

Assessee Arguments: The cash represented sales proceeds, withdrawals from other accounts, and legitimate business receipts. Cash book and sales registers were maintained. Reconciliation was provided.

Documentary Evidence:

- Cash book and sales day book.
- Bank deposit slips.
- Daily sales summaries.
- Previous year cash withdrawal statements.
- Audit trail reports.

Commissioner Reasoning and Findings:

Section 69A deals with unexplained money. The assessee has maintained complete cash book reconciled with bank statements. Deposits match with recorded sales and other receipts. There is no evidence of any undisclosed source.

The AO's observation regarding demonetization period is not supported by specific findings. The company being a manufacturing entity has high cash component in operations. Credibility of books is high as they are audited. No major discrepancies were found in stock or other verifications.

The evidence is consistent and contradictions alleged by AO are not substantiated. Tax law interpretation requires tangible material to invoke Section 69A, which is absent here.

Outcome: The addition of Rs. 92,70,000/- is Deleted. This ground is Allowed.

Final Decision

In view of the above findings:

- 1. Addition under Section 68 of Rs. 2,50,00,000/- is deleted.**
- 2. Disallowance under Section 40A(3) is reduced to Rs. 1,20,00,000/-.**
- 3. Disallowance of sales promotion expenses is reduced to Rs. 45,00,000/-.**
- 4. Addition under Section 41(1) is reduced to Rs. 28,00,000/-.**
- 5. Addition under Section 69A of Rs. 92,70,000/- is deleted.**

The total income is recomputed accordingly. The Assessing Officer is directed to give effect to this order and allow consequential relief, including interest under Section 244A, as per law.

This appeal is partly allowed.

Sd/-

Senior Commissioner of Income Tax (Appeals)-XX

Delhi

Date: 18.06.2026